

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: June 29, 2026

Latest financials: Q2 FY2025 · Model data as of 2026-06-29

HOLD

Composite · Valuation: OVERWEIGHT

Target \$417.71 · +13.4% upside

Price \$368.33

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$417.71 (+13.4% vs \$368.33); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT \$417.71	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BEARISH	Bearish	20%
Quantitative	NEGATIVE	Score -0.70 · 12m -25%	15%
Composite	HOLD	Score +0.13 · 50% confluence	—

Solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

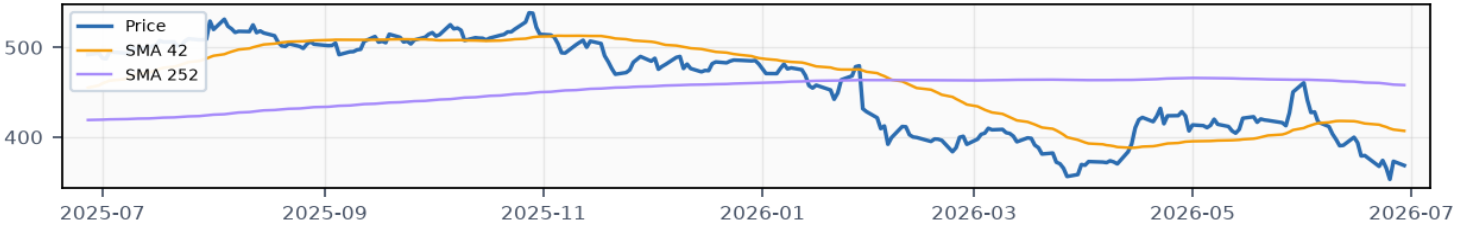
Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **OVERWEIGHT** rating; blended target \$417.71. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.74T	Shares Out.	7428.4M
52-Week Range	\$349.20 – \$555.45	P/E (TTM)	22.0x
P/B	6.6x	Beta	1.10
Avg Volume	39.15M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B
Gross Margin	68.3%	ROE	34.0%
EV/EBITDA	15.3x	Debt/Equity	30.3%
EPS (TTM)	\$16.78	Div Yield	98.0%

PRICE TREND · SMA 42 / 252

MSFT · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
P/E (x)	31.04	26.87	22.71	20.00	18.14

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$406.91	Short-term trend	12m Momentum	-25.1%	
SMA (252d)	\$457.99	Long-term trend	3m Momentum	+2.8%	
RSI (14d)	31.4	Momentum oscillator	Ann. Volatility	27.0%	
Trend	Bearish		Sharpe Ratio	0.12	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-43.3%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$406.91, SMA252=\$457.99	Quant Score	-0.70	NEGATIVE
			SMA Backtest (ann.)	7.2%	B&H; 10.4%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE) Comps — Blended	\$215.60	-41.5%	0% (excluded)	Diverges below other methods	Ke · Terminal g	10.07% · 4.00%
(median of multiples	\$417.71	+13.4%	100%	(44% of median) Included in blend	FCFE growth	9.15%
Analyst consensus	\$561.11	+52.3%	0% (excluded)	>50% above price (likely stale)	Equity value	\$1.60T
(Yahoo Finance) Blended target (weighted)	\$417.71	+13.4%	100%	Comps 100%	Implied price	\$215.60
					vs. current	-41.5%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$426.57B	25.4x	18.7x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$129.71B	18.4x	12.4x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$103.06B	59.5x	34.2x	12.6%	+22.1%
IBM	International Business	\$259.45B	24.4x	18.9x	15.6%	+9.5%
MSFT*	Microsoft Corporation	\$2.74T	22.0x	15.3x	39.3%	+18.3%

* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (18.3% YoY); High operating leverage (46.3% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.